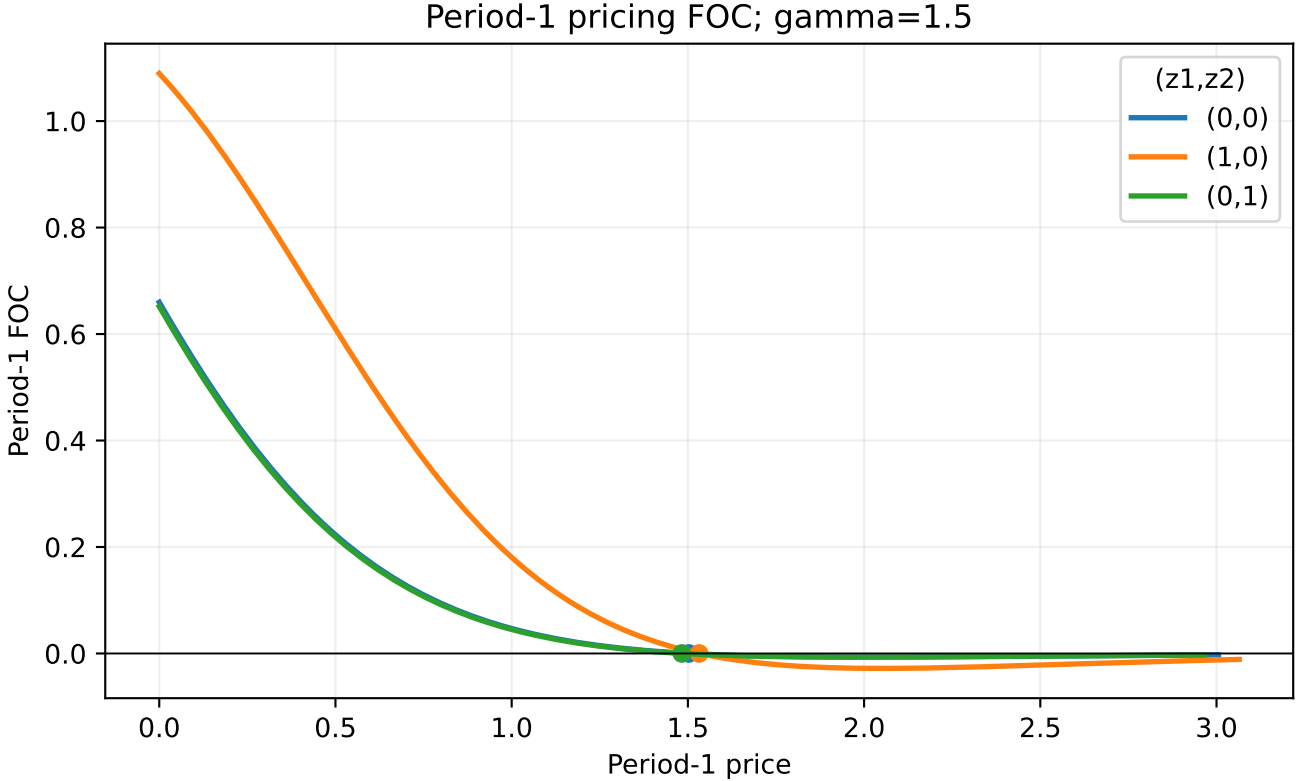
Period-1 pricing FOC; gamma=1.5
(z1,z2)
(0,0)
(1,0)
(0,1)
Period-1 FOC
1.0
0.8
0.6
0.4
0.2
0.0
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Period-1 price
alpha=-2, beta=-1, delta=0.7, c=1; other price fixed at optimum